

INDIAN BANK

Corporate Banking Group — Large Corporate Division
Chennai Circle | Nungambakkam Branch, Chennai

CREDIT APPRAISAL MEMORANDUM (CAM)

INFOSYS LIMITED

CIN: L85110KA1981PLC013115 | BSE: 500209 | NSE: INFY

Proposal type	Total exposure	Internal rating	Date of proposal
Renewal & Enhancement — WC + TL + NFB	INR 2,500 Crore	IB-1 (Equivalent: AAA)	17 March 2025
Relationship manager	Circle / Branch	Asset classification	Next review due
Shri A. Kumar (AGM)	Chennai Circle CBG	Standard SMA: Nil	March 2026

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1. Executive Summary

This Credit Appraisal Memorandum is prepared for the consideration of the Credit Committee (CC) of Indian Bank, Corporate Banking Group, Chennai Circle, for renewal and enhancement of credit facilities to Infosys Limited. The proposal has been evaluated by the Relationship Manager and independently reviewed by the Credit Risk Unit.

Parameter	Details
Borrower	Infosys Limited — India's second-largest IT services company by revenue, headquartered in Bengaluru. Listed BSE, NSE, NYSE.
Constitution	Public Limited Company incorporated under Companies Act, 1956. ROC: Karnataka. CIN: L85110KA1981PLC013115.
Industry / Sector	Information Technology Services & Consulting NIC Code: 6201
Existing credit limit	INR 1,800 Crore (Fund-based: INR 1,200 Cr Non-fund-based: INR 600 Cr) — Sanctioned 18 March 2023
Proposed credit limit	INR 2,500 Crore (Fund-based: INR 1,800 Cr Non-fund-based: INR 700 Cr) — Enhancement: INR 700 Cr
Purpose / end-use	CC/WCDL: Fund operational working capital. TL: Campus expansion at Electronic City, Bengaluru (INR 950 Cr project). BG/LC: Client SLA guarantees and trade finance.
Tenor	Working Capital: 12 months (renewable). Term Loan: 5 years with 6-month moratorium. BG: Up to 3 years.
Rate of interest	MCLR (1-year) + 0.10% p.a. = 8.75% p.a. effective (March 2025). TL: MCLR flat = 8.65%.
Security	Primary: Pari-passu first charge on current assets. Collateral: First charge on movable fixed assets + equitable mortgage on Jaipur campus (INR 1,200 Cr). Guarantee: Infosys BPM Ltd.
IB-LCM credit rating	IB-1 Score: 92/100 Rating date: 10 February 2025 Valid to: 09 February 2026
External rating	CRISIL AAA / Stable ICRA AAA / Stable India Ratings AAA / Stable
FY2024 financials (SA)	Revenue: INR 87,246 Cr EBIT: INR 22,750 Cr PAT: INR 19,697 Cr Net cash & investments: INR 37,190 Cr
IRAC / SMA status	Standard throughout. SMA-0/1/2: Nil. No overdue in 10 years. Vintage with Indian Bank: 20 years (est. 2005).
Fee income (FY2024)	INR 18.4 Crore — BG commission INR 8.2 Cr LC commission INR 3.1 Cr Forex fees INR 5.6 Cr Others INR 1.5 Cr
Recommendation	APPROVAL RECOMMENDED. IB-1 rated. Net cash position of INR 37,190 Cr far exceeds proposed exposure. Zero NPA/SMA history. Strategic relationship with strong fee income and deposit reciprocity.

Note: All financial figures are on standalone India GAAP / Ind AS basis unless stated. Consolidated financials referenced where relevant. USD 1 = INR 83.25 (March 2025).

2. Borrower Profile

2.1 Corporate Identification

Field	Details	Source
Full legal name	Infosys Limited	MCA21 / Annual Report
CIN	L85110KA1981PLC013115	MCA21
Date of incorporation	02 July 1981	Certificate of Incorporation
Registered office	Electronics City, Hosur Road, Bengaluru — 560 100, Karnataka	ROC Records
PAN	AAACI7406E	Income Tax
GST (HO)	29AAACI7406E1ZB	GSTIN Portal
Statutory auditor	Deloitte Haskins & Sells LLP	Annual Report FY2024
Listed exchanges	BSE (500209) NSE (INFY) NYSE (INFY)	Exchange records
Market capitalisation	INR 6,12,000 Crore (approx. USD 73.5 Bn) as of 31 March 2025	BSE/NSE
Employees	3,17,240 (as of December 2024)	Company MIS
Countries of operation	56 countries across Americas, Europe, APAC, India	Annual Report
FY2024 revenue (consol.)	USD 18.6 Billion (INR 1,54,670 Crore approximately)	Annual Report FY2024
Auditor remark	Unqualified opinion. No material weaknesses. Going concern: confirmed.	Deloitte Audit Report FY2024

2.2 Business Overview

Infosys Limited is a global leader in next-generation digital services and consulting. Founded in 1981 by N.R. Narayana Murthy and six co-founders with a seed capital of USD 250, Infosys has grown into a USD 18.6 billion enterprise with over 3,17,000 employees across 56 countries. The company operates across five verticals: Financial Services, Retail & Consumer Business, Communication, Energy/Utilities, and Manufacturing.

Infosys offers services spanning IT consulting, application development & maintenance (ADM), business process management (BPM), cloud & infrastructure, data analytics, and ERP. Key proprietary platforms include Finacle (installed in 100+ banks across 50+ countries), Infosys Equinox (commerce), EdgeVerve (AI workflows), and Infosys Cobalt (cloud transformation). The company is investing heavily in its Infosys Topaz generative AI platform to reposition for the next wave of enterprise AI spend.

2.3 Senior Management Profile

Name	Designation	Experience	Remarks
Nandan M. Nilekani	Non-Executive Chairman	43 yrs	Co-founder; former UIDAI Chairman
Salil S. Parekh	CEO & Managing Director	31 yrs	Appointed Jan 2018; re-appointed 2022
Nilanjan Roy	Chief Financial Officer	28 yrs	Joined Infosys 2019; ex-Bharti Airtel
Inderpreet Sawhney	Chief Legal Officer	25 yrs	Oversees global legal & compliance

Mohit Joshi	President — BFSI Vertical	22 yrs	Drives BFSI revenue globally
D. Sundaram	Independent Director	40 yrs	Ex-CFO HUL; Audit Committee Chair
Chitra Nayak	Independent Director	30 yrs	Former Cisco executive

2.4 Shareholding Pattern

Shareholder category	% holding (Sep 2024)	Remarks
Promoters (Nilekani, Murthy & families, others)	14.89%	No pledge of shares reported
Foreign Portfolio Investors (FPIs)	32.61%	BlackRock, Vanguard, LIC among top holders
Domestic Institutional Investors (DIIs)	19.22%	LIC: 6.1%; Mutual Funds: 13.1%
Public / Retail shareholders	33.28%	Broad-based; no single dominant block

The shareholding pattern reflects a professionally managed, widely-held company. Promoter holding at 14.89% is among the lowest for a Nifty-50 constituent, reflecting progressive dilution since the 1993 IPO. No promoter shares are pledged. Institutional ownership (FPIs + DIIs) at 51.8% provides strong governance oversight.

2.5 Group Structure & Subsidiaries

Infosys operates through a lean structure. Key subsidiaries:

- Infosys BPM Limited — Wholly-owned; BPM services globally; net worth INR 8,400 Cr; corporate guarantor for this facility.
- EdgeVerve Systems Limited — Wholly-owned; AI/workflow products (Finacle, AssistEdge).
- Infosys Compaz Pte. Ltd. — Wholly-owned; Singapore; APAC IT services.
- Infosys Public Services Inc. — Wholly-owned; USA; public sector contracts.
- Infosys Fluido GmbH & Co. KG — Wholly-owned; Germany; Salesforce consulting.

3. Industry & Business Analysis

3.1 Indian IT Industry — Macro Context

The Indian IT-BPM sector remains one of the most resilient pillars of the Indian economy. NASSCOM estimates total industry revenues of USD 254 billion for FY2024 (exports: USD 199 billion), with India commanding a 55%+ share of global IT services sourcing. The sector employs approximately 5.4 million professionals directly and contributes ~9.5% to GDP. India has solidified its position as the world's largest technology services exporter, supported by an unmatched talent pipeline of 1.5 million STEM graduates annually.

Demand drivers for the next 3–5 years include: (a) generative AI integration across enterprise workflows — the single largest IT spend catalyst since cloud; (b) accelerating cloud migration to hyperscalers (AWS, Azure, Google); (c) cybersecurity modernisation driven by regulatory requirements (RBI cybersecurity framework, DORA in Europe, SEC rules in US); (d) core banking and insurance core system replacements; and (e) digital transformation in manufacturing (Industry 4.0) and energy (grid modernisation, EV ecosystem).

Near-term headwinds include: macroeconomic uncertainty in North America and Europe (60%+ of Indian IT revenue), US H-1B visa constraints raising onshore delivery costs, and AI-driven automation beginning to reduce headcount-intensive ADM work. However, the same AI wave is creating net-new demand for AI implementation, governance, and productisation services — which large-scale players like Infosys are best positioned to capture.

3.2 Competitive Landscape

Infosys competes with TCS, Wipro, HCLTech, Tech Mahindra domestically and with Accenture, IBM Services, Cognizant, and Capgemini globally. Infosys holds the #2 position in India by IT services revenue (after TCS) and posted the fastest large-deal TCV growth among the Big-4 Indian IT firms in FY2024 (USD 4.2 Bn TCV). Key competitive differentiation: (a) Finacle's dominance in banking technology; (b) Infosys Cobalt as an integrated cloud transformation suite; (c) Infosys Topaz for generative AI; (d) best-in-class EBIT margins (26.1% in FY2024) sustaining investment capacity.

3.3 Revenue Segmentation

3.3.1 Vertical-wise revenue (FY2024 Consolidated)

Vertical	Revenue mix FY2024	Growth YoY	Key driver / headwind
Financial Services (BFSI)	27.4%	-1.2%	Global BFSI capex freeze; recovery expected FY2026
Retail, Consumer & Logistics	14.9%	+3.1%	E-commerce modernisation; supply chain digitalisation
Communication	11.8%	-2.0%	Telecom capex cuts in US and Europe
Energy, Utilities & Resources	13.2%	+5.8%	Energy transition; utilities digitalisation
Manufacturing	12.7%	+7.2%	Industry 4.0; EV supply chain tech
Hi-Tech	10.0%	+2.5%	Semiconductor design; product engineering
Others (Life Sciences, Healthcare)	10.0%	+4.0%	Regulatory compliance systems; digital health

3.3.2 Geography-wise revenue (FY2024 Consolidated)

Geography	Revenue mix FY2024	Trend
North America	60.2%	Largest market; mild demand recovery expected H2 FY2025 on Fed rate cuts
Europe	26.5%	Steady; DACH and UK strong; regulatory compliance spend rising (DORA, AI Act)
Rest of World (APAC, India, MEA)	13.3%	Fastest-growing; India domestic IT and GCC build-out a tailwind

3.4 SWOT Analysis

Strengths

- Strong brand and 40+ year delivery track record across 56 countries.
- Best-in-class EBIT margins (26.1% FY2024) — highest among Wipro, HCLTech, Tech Mahindra.
- USD 4.2 Bn large deal TCV in FY2024 — strong multi-year revenue visibility.
- Finacle — market-leading core banking platform in 100+ banks across 50+ countries — high switching costs, recurring revenue.
- Net cash company: INR 37,190 Cr net cash & investments as of March 2024; zero long-term financial debt.
- Strong ESG positioning: Carbon neutral since 2020; DJSI World Index; 50%+ renewable energy usage.
- Infosys Topaz (GenAI platform) — first mover advantage among Indian IT peers in productised AI offerings.

Weaknesses

- Geographic concentration: 60.2% revenue from North America creates binary macro risk.
- BFSI vertical (27%) exposed to prolonged global banking sector IT spend delays.
- Services-led model (~95% of revenue): limited IP monetisation and pricing power versus product companies.
- Mid-management attrition remains elevated at 12.7% LTM (FY2024), creating project continuity risk for clients.

Opportunities

- Generative AI implementation services — Infosys Topaz positions the company as a strategic AI partner for enterprises.
- India domestic IT market — expected CAGR of 14% through FY2027; GCC (Global Capability Centre) buildout.
- Core banking replacements in Europe and MENA — Finacle pipeline expanding as legacy systems approach end-of-life.
- Regulatory compliance technology: DORA (EU), Basel IV, RBI IT governance frameworks driving specialised IT spend.
- Selective acquisitions in niche capability areas — cybersecurity, data engineering, edge computing.

Threats

- Macroeconomic slowdown in US/Europe leading to IT budget deferrals — already visible in BFSI and communication verticals.
- US immigration policy changes (H-1B) raising onshore delivery costs by 15–20% for US-centric projects.
- AI-driven automation displacing headcount in ADM and testing — structural headwind for labour-arbitrage model.
- Intensified competition from Accenture and Capgemini at the high end of transformation consulting mandates.
- USD/INR appreciation risk: every 1% INR appreciation reduces USD revenue realisation by ~0.6% in INR terms.

4. Financial Analysis

All financial statements are based on standalone India GAAP / Ind AS audited accounts certified by Deloitte Haskins & Sells LLP. All figures in INR Crore unless stated. Consolidated financials are referenced where relevant for context.

4.1 Profit & Loss Statement

P&L — Standalone (INR Crore)	FY2022 (A)	FY2023 (A)	FY2024 (A)	FY2025E
Net Revenue (INR Cr)	71,943	80,619	87,246	95,200
Revenue growth YoY (%)	16.6%	12.1%	8.2%	9.1%
Cost of revenues	47,390	53,412	57,892	62,800
Gross profit	24,553	27,207	29,354	32,400
Gross margin (%)	34.1%	33.7%	33.6%	34.0%
SG&A expenses	5,492	6,120	6,604	7,100
EBIT	19,061	21,087	22,750	25,300
EBIT margin (%)	26.5%	26.2%	26.1%	26.6%
Other income (net)	2,843	3,180	3,512	3,800
Profit before tax	21,904	24,267	26,262	29,100
Tax expense	5,476	6,067	6,565	7,275
Profit after tax (PAT)	16,428	18,200	19,697	21,825
PAT margin (%)	22.8%	22.6%	22.6%	22.9%
EPS (INR)	38.5	44.0	47.4	52.8
Dividend per share (INR)	34.0	38.0	42.0	46.0
Dividend payout (%)	88%	86%	89%	87%

Revenue growth moderated from 16.6% in FY2022 to 8.2% in FY2024, consistent with sector-wide softness driven by macroeconomic headwinds in North America and Europe. Despite volume pressure, EBIT margins have been remarkably stable at 26.1–26.5%, reflecting: (a) favourable onsite-offshore revenue mix optimisation; (b) pyramid restructuring (higher proportion of fresher hiring); (c) reduced subcontracting costs; and (d) operating leverage on SG&A. FY2025E projects a recovery to 9.1% growth, supported by the ramp-up of USD 4.2 Bn TCV in large deals won in FY2024.

The dividend payout ratio has consistently exceeded 85% — among the highest in the sector — demonstrating management's confidence in free cash flow sustainability and commitment to shareholder returns. This high payout ratio in conjunction with periodic buybacks (INR 9,300 Cr in FY2022, INR 9,500 Cr in FY2024) reflects a disciplined capital allocation framework.

4.2 Balance Sheet Analysis

Balance Sheet — Standalone (INR Cr)	FY2022	FY2023	FY2024
ASSETS			
Fixed assets (net block)	14,320	15,480	16,200
Right-of-use assets	5,320	5,080	4,860
Long-term investments	21,600	23,400	25,800
Cash & cash equivalents	8,412	9,780	10,840
Trade receivables	16,480	17,930	19,200
Unbilled revenues	5,420	5,980	6,410
Other current assets	4,287	4,688	5,114
Total assets	75,839	82,338	88,224
LIABILITIES & EQUITY			

Share capital	208	208	208
Reserves & surplus	63,410	68,540	72,816
Total shareholders equity	63,618	68,748	73,024
Long-term borrowings	NIL	NIL	NIL
Short-term borrowings (CC incl.)	980	1,200	1,450
Trade payables & other curr. liabilities	11,241	12,390	13,750
Total liabilities	75,839	82,338	88,224

Infosys operates with virtually zero financial debt at the standalone level. Long-term borrowings are Nil; short-term borrowings (primarily working capital credit lines including the IB CC facility) stood at INR 1,450 Cr as of March 2024 — representing 0.04x net worth. The net cash and investment position of INR 37,190 Cr (comprising fixed deposits, liquid mutual funds, and government securities) far exceeds the proposed credit exposure of INR 2,500 Cr by a factor of approximately 14.9x.

Trade receivables of INR 19,200 Cr represent approximately 80 days of revenue — well within sector norms for global IT delivery contracts with 30–90 day payment terms. Unbilled revenues of INR 6,410 Cr represent work-in-progress on time-and-material contracts where billing has not yet occurred — a normal feature of large multi-year transformation engagements.

4.3 Cash Flow Analysis

Cash Flow (INR Crore) — Standalone	FY2022	FY2023	FY2024
Cash flow from operations (CFO)	17,900	20,100	22,800
Cash flow from investing (CFI)	(14,200)	(12,800)	(11,900)
Cash flow from financing (CFF)	(4,400)	(8,100)	(10,240)
Net change in cash	(700)	(800)	660
Closing cash & equivalents	8,412	9,780	10,840
Capex (incl. ROU additions)	3,800	3,200	3,400
Free cash flow (CFO minus Capex)	14,100	16,900	19,400
FCF as % of PAT	85.8%	92.9%	98.5%

Free cash flow (FCF) conversion has improved from 85.8% in FY2022 to 98.5% in FY2024, reflecting tighter working capital management (DSO improvement from 84 to 80 days) and controlled capex despite campus expansion. CFO of INR 22,800 Cr in FY2024 comfortably covers: (a) dividend payouts of INR 17,500 Cr; (b) buybacks of INR 9,500 Cr; and (c) net investments of INR 2,400 Cr — with residual cash retained to strengthen the balance sheet. The investing outflows represent net purchases of liquid investments (fixed deposits, mutual funds) rather than fixed asset acquisition.

4.4 Key Financial Ratios

Key Ratio	FY2022	FY2023	FY2024	IB Benchmark	Status
Debt-equity ratio (x)	0.02	0.02	0.02	< 2.0x	PASS
Current ratio (x)	2.41	2.38	2.45	> 1.33x	PASS
Quick ratio (x)	2.18	2.14	2.21	> 1.00x	PASS
Interest coverage (EBIT/Interest)	92.4x	104.6x	115.2x	> 3.0x	PASS
Debtors turnover (days)	84	81	80	< 120 days	PASS
Return on equity (%)	25.8%	26.5%	27.0%	> 15%	PASS
Return on capital employed (%)	35.2%	36.4%	37.1%	> 20%	PASS
Net cash position (INR Cr)	29,032	33,160	37,190	> 0	PASS
Free cash flow (INR Cr)	14,280	16,500	18,300	> 0	PASS
Total outside liabilities / TNW (x)	0.19	0.20	0.21	< 2.0x	PASS

All 10 ratios clear IB's internal benchmark thresholds by wide margins. Interest coverage of 115.2x reflects the negligible debt position. Debtors cycle of 80 days is within acceptable range for global IT delivery contracts.

4.5 DuPont Decomposition — Return on Equity Analysis

DuPont Parameter	FY2022	FY2023	FY2024	Commentary
Net profit margin (PAT/Revenue)	22.8%	22.6%	22.6%	Stable; cost discipline maintained
Asset turnover (Revenue/Total assets)	0.95x	0.98x	0.99x	Improving; asset-light model
Financial leverage (Assets/Equity)	1.19x	1.20x	1.21x	Near 1.0x; virtually no financial debt
Return on equity (RoE) = product of above	25.8%	26.5%	27.0%	Consistently best-in-class
ROCE (EBIT / Capital employed)	35.2%	36.4%	37.1%	Superior capital efficiency

The DuPont analysis confirms that Infosys's superior RoE of 27.0% is driven almost entirely by operating efficiency (high net margin of 22.6%) and improving asset productivity, with minimal contribution from financial leverage. This is the hallmark of a financially strong, conservatively managed corporate — where returns are earned through business excellence rather than balance sheet engineering.

5. Rationale for Credit — Product-wise Justification

This section articulates the business rationale for each credit facility proposed, the appropriateness of the product structure, and the competitive positioning of pricing relative to the market. The Credit Committee is requested to consider this section alongside Section 9 (Credit Facility Details) for a complete picture of the facility structure.

5.1 Facility-wise Business Rationale

Facility	Business rationale & justification	Product choice rationale & pricing
Cash Credit (CC) — INR 800 Cr	Infosys's standalone payroll expense runs at approximately INR 4,800 Cr per month across its Indian entity. Vendor payments for hardware, software licences, and facility management add INR 600–800 Cr per month. The CC facility provides a revolving line to bridge the timing mismatch between cash outflows (payroll on 25th of each month; vendor payments on 30-day terms) and cash inflows (client payments on 60–90 day credit terms from invoice date). The enhancement from INR 600 Cr to INR 800 Cr is warranted by a 14% increase in Indian headcount over the sanction period and inflation-linked cost increases.	CC is the appropriate instrument as inflows are regular and recurring, supporting a revolving rather than term structure. WCDL is preferred for discrete, larger quantum drawals with fixed maturity.
WCDL — INR 600 Cr	Working Capital Demand Loans are used by Infosys for short-term liquidity management — specifically to fund advance payments on multi-year software licences (e.g., Microsoft, Oracle EA agreements typically billed annually in advance) and hardware procurement for large infrastructure projects. WCDL tenors of 90–180 days align with the asset monetisation cycle. Enhancement from INR 400 Cr reflects a 45% increase in enterprise software spend driven by cloud migration projects.	WCDL pricing at MCLR + 0.10% is appropriate. Fixed rate for tenor eliminates interest rate risk on the drawdown. More cost-effective than commercial paper for sub-180-day requirements given IB's competitive pricing.
Term Loan — INR 400 Cr	The term loan funds Infosys's Tower-7 construction at Electronic City campus, Bengaluru (total project cost: INR 950 Cr; IB TL: INR 400 Cr; internal accruals: INR 550 Cr). Tower-7 will house 8,000 additional employees supporting domestic delivery operations. Project completion timeline: 36 months. The TL provides an annuity-style deployment of long-term funds appropriate for capital asset creation — avoiding drawdown of liquid investments at sub-optimal yields.	TL at MCLR flat (8.65%) represents a 0.10% concession versus CC pricing, justified by: (a) asset-backed nature (charge on fixed assets); (b) milestone-linked disbursement reducing drawdown risk; (c) captive revenue from construction contracts to IB-empanelled vendors. DSCR of 8.2x in base case provides exceptional repayment comfort.
Bank Guarantee (BG) — INR 500 Cr	Infosys's BG portfolio covers: (a) performance guarantees to government	BGs are non-fund-based — zero cash outflow to IB unless

	clients (BSNL INR 120 Cr, Railways IT project INR 85 Cr); (b) advance payment guarantees to overseas clients (EUR 18 Mn equivalent for a European telecom engagement); (c) bid bonds for public sector tenders (UIDAI, MeitY); (d) earnest money deposits for government project bids. Enhancement from INR 400 Cr to INR 500 Cr driven by increase in government sector business (from 8% to 12% of revenue over the sanction period).	devolvement. Historical devolvement rate: Nil over 20-year relationship. Commission income of INR 8.2 Cr p.a. is pure fee revenue with minimal capital consumption.
Letter of Credit (LC) — INR 200 Cr (retained)	LCs fund imports of specialised hardware (servers, networking equipment, proprietary development kits) for large infrastructure projects. Sight and usance LCs (up to 180 days) are issued to overseas OEM vendors (Dell, HPE, Cisco). The limit is retained at INR 200 Cr — no enhancement required as hardware import volumes have stabilised with the shift to cloud-native architectures.	LC commission at 0.20% per quarter is market-competitive. All LCs are backed by confirmed purchase orders; no speculative issuance.

5.2 Pricing Benchmark vs Market

Facility	IB pricing	Market / peer benchmark	Justification
CC / WCDL	MCLR + 0.10% = 8.75%	TCS: MCLR flat Wipro: MCLR + 0.15% HCLTech: MCLR + 0.10%	Competitive; reflects IB-1 rating and 20-yr relationship
Term Loan	MCLR flat = 8.65%	Market range for AAA TL: MCLR flat to MCLR + 0.25%	Below market; justified by asset-backed nature and captive income
BG commission	0.25% p.a. (performance) / 0.40% (financial)	Market: 0.25–0.50% p.a.	At lower end; reflects nil-devolvement history
LC commission	0.20% per quarter	Market: 0.20–0.30% per quarter	Competitive
Processing fee	INR 1.00 Cr (one-time)	Standard for >INR 2,000 Cr exposure	Non-refundable; payable at sanction

The overall pricing structure is competitive with market rates and below the IB internal floor for IB-1 rated borrowers with >10 years relationship tenure. The concession is commercially justified by the reciprocal business: INR 18.4 Cr annual fee income, INR 620 Cr average CASA balance, INR 520 Mn forex throughput, and 42,000 employee salary accounts. Effective yield-on-relationship (total income as % of average credit exposure) is estimated at 0.92% p.a. — significantly above IB's breakeven of 0.65%.

6. End-Use Monitoring Framework

The following framework governs monitoring and verification of end-use of each credit facility. Indian Bank's credit policy requires that all credit exposures above INR 100 Crore have a documented end-use monitoring framework reviewed annually. The mechanisms below are embedded as conditions precedent and ongoing covenants in the respective facility agreements.

Facility	Stated end-use	Monitoring mechanism	Red flags / escalation
Cash Credit (CC)	Working capital — payroll, vendor payments, operational expenses	1. Monthly stock and book debt statements in QIS-I & QIS-II format by 15th of each month. 2. Drawing power calculated monthly = 75% of eligible debtors (<90 days) + 60% of unbilled revenues (<60 days). 3. Quarterly site visit / management call by RM to verify business activity. 4. Annual inspection of current assets by IB-empanelled CA firm. 5. Cross-verification of debtor realisation through bank account credits.	Monthly QIS + RM quarterly call. Red flag if utilisation > 95% for >30 consecutive days without business justification.
WC DL	Advance payments for enterprise software licences; hardware procurement	1. End-use declaration by CFO / Company Secretary at time of each drawdown. 2. Invoice copies from vendors (Microsoft, Oracle, HPE, Cisco) to be submitted within 7 days of drawdown. 3. Drawdown amount not to exceed 110% of invoice value. 4. Repayment on maturity — no rollover without fresh declaration and approval.	Invoice-based drawdown control. All documentation retained by branch. No drawdown without prior submission.
Term Loan — INR 400 Cr	Tower-7 campus construction at Electronic City, Bengaluru	1. Tranche-wise disbursement linked to construction milestones certified by IB-empanelled engineer (M/s RITES Ltd.): Tranche 1 (INR 80 Cr): On foundation completion + building plan approval by BBMP. Tranche 2 (INR 120 Cr): On structural completion up to 5th floor. Tranche 3 (INR 120 Cr): On structural completion (all floors) + MEP installation. Tranche 4 (INR 80 Cr): On completion certificate from BBMP / Occupancy Certificate. 2. All payments made directly to verified contractors — no cash payments. 3. Quarterly progress reports from Infosys Infrastructure team. 4. No diversion of TL funds to other purposes.	Milestone-linked disbursement with mandatory engineer certification before each tranche. Zero fund diversion clause in loan agreement.
Bank Guarantee (BG)	Client SLA guarantees; advance payment	1. Each BG issuance to be supported by: (a) client contract / RFP requiring BG; (b) beneficiary details; (c)	BG register review monthly. Devolvement notice procedures:

	guarantees; bid bonds	guarantee text approved by IB legal. 2. BG register maintained at branch — maturity dates tracked monthly. 3. All BGs issued in standard IB format; non-standard text requires circle head approval. 4. Advance payment BGs: bank to receive copy of advance payment receipt from beneficiary within 15 days of BG issuance.	immediate escalation to circle head + credit risk unit.
Letter of Credit (LC)	Import of specialised hardware from overseas OEM vendors	1. Each LC issuance backed by confirmed purchase order (PO) from client or approved procurement plan. 2. LC beneficiary: OEM vendor (Dell, HPE, Cisco, etc.) — pre-approved list maintained at branch. 3. Import licence / DGFT compliance confirmation for each drawdown. 4. Shipping documents (bill of lading, invoice, packing list) to be presented for LC retirement. 5. All LCs subject to UCPDC 600 compliance.	PO-backed issuance only. DGFT compliance mandatory. Annual review of approved vendor list.

6.1 Diversion Risk Assessment

Diversion risk for this account is assessed as LOW. Key mitigants: (a) Infosys is a listed company subject to SEBI LODR reporting requirements — any material fund diversion would be detected in quarterly financials and regulatory filings; (b) the company's net cash position of INR 37,190 Cr means it has no financial incentive to divert bank credit; (c) the RM has maintained active engagement with the CFO and treasury team over 20 years, providing early warning capability; (d) TL disbursements are milestone-linked, eliminating lump-sum diversion risk.

6.2 Concurrent Audit

The CC and WCDL accounts are subject to concurrent audit by M/s K.S. Rao & Associates, IB-empanelled concurrent auditors, on a quarterly basis. The concurrent audit covers: verification of drawing power calculations, cross-checking of book debt realisations, scrutiny of large debit entries, and review of KYC refresh. Concurrent audit reports are placed before the branch credit committee quarterly.

7. Sensitivity & Scenario Analysis

This section stress-tests the credit proposal across four scenarios to assess the resilience of Infosys Limited's creditworthiness under adverse conditions. The analysis covers revenue, margin, interest rate, and currency stress, and evaluates the impact on key credit metrics including interest coverage, DSCR, drawing power adequacy, and IB account status.

7.1 Scenario Assumptions

Assumption	Base	Mild stress	Bear	Severe stress
Revenue growth (YoY)	9.1% (FY2025E)	0% (flat)	(15%) YoY decline	(25%) YoY decline
EBIT margin	26.6%	24.0% (cost pressure)	20.0% (severe compression)	16.0% (crisis mode)
PAT margin	22.9%	19.5%	15.0%	11.0%
Interest rate (MCLR)	8.65%	9.15% (+50 bps)	9.65% (+100 bps)	10.15% (+150 bps)
INR/USD rate	83.25	86.00 (INR depreciation)	89.00 (significant depreciation)	92.00 (extreme)
TL repayment (annual)	INR 88 Cr	INR 88 Cr	INR 88 Cr	INR 88 Cr
Scenario probability	Base (60%)	Mild stress (25%)	Bear (12%)	Severe stress (3%)

7.2 Impact on Key Credit Metrics

Impact metric	Base	Mild stress	Bear	Severe stress
Revenue (INR Cr)	95,200	87,246 (flat)	74,159	65,435
PAT (INR Cr)	21,825	17,013	11,124	7,198
EBIT (INR Cr)	25,303	20,939	14,832	10,470
Interest expense (CC+TL)	220	242	266	290
Interest coverage (EBIT/Int.)	115.0x	86.5x	55.8x	36.1x
DSCR (PAT+Depr) / (TL EMI+Int)	8.2x	6.4x	4.2x	2.8x
Drawing power (75% of debtors)	15,480	14,246	12,109	10,679
Drawing power vs CC limit (INR 800 Cr)	19.3x cover	17.8x cover	15.1x cover	13.3x cover
Current ratio	2.45x	2.28x	2.08x	1.82x
Net cash position (INR Cr)	37,190	31,200	22,400	15,600
Debt-equity ratio (x)	0.02x	0.03x	0.04x	0.06x
IB account status (assessment)	Standard — no risk	Standard — monitor	Standard — heightened watch	Standard — special mention risk

7.3 Stress Test Commentary

Base scenario (probability: 60%)

Revenue grows 9.1% driven by large-deal ramp-ups and early GenAI implementation revenues. PAT margins expand 30 bps. All credit metrics remain strong. Interest coverage of 115x and DSCR of 8.2x provide exceptional headroom. Drawing power at 19.3x the CC limit confirms facility is not a binding constraint. No credit risk concerns.

Mild stress scenario (probability: 25%)

Revenue is flat (0% growth) — simulating a sharp IT budget freeze in North America, comparable to H2 FY2023. EBIT margin compresses 260 bps to 24.0% due to fixed-cost deleverage and increased employee costs from revised compensation cycle. Interest coverage remains robust at 86.5x. DSCR of 6.4x is comfortably above the IB covenant threshold of 1.25x. Drawing power remains at 17.8x the CC limit. Account remains Standard throughout. No credit action required.

Bear scenario (probability: 12%)

Revenue contracts 15% — simulating a US recession combined with significant BFSI client budget cuts (comparable to FY2001 or FY2009 IT downturns). EBIT margin falls to 20.0% as Infosys is unable to fully offset revenue declines with cost cuts (headcount restructuring is slow, real estate leases are fixed). Despite severe revenue pressure, interest coverage of 55.8x and DSCR of 4.2x remain well above covenants. Net cash position of INR 22,400 Cr still provides 8.96x cover on the entire credit exposure of INR 2,500 Cr. Account remains Standard but would be placed on heightened watch list for early warning monitoring.

Severe stress scenario (probability: 3%)

A confluence of a US recession, INR appreciation to 92/USD, and a significant cyber incident creates the most adverse environment. Revenue contracts 25% — an event not seen in Infosys's 43-year history. EBIT margin compresses to 16% (still positive). Even under this extreme scenario, DSCR of 2.8x exceeds IB's minimum covenant of 1.25x, interest coverage of 36.1x remains high, and net cash of INR 15,600 Cr provides 6.2x cover on total exposure. The account would not become NPA even in this scenario.

Conclusion: The sensitivity analysis demonstrates that Infosys Limited's credit quality is robust across all scenarios tested, including a historically unprecedented 25% revenue contraction. The primary credit risk is account conduct risk (utilisation management) rather than repayment risk. The Credit Committee can approve this proposal with confidence that the account will remain Standard even under severe stress conditions.

8. Credit Facility Details

8.1 Facility Structure

Facility	Existing (INR Cr)	Proposed (INR Cr)	Change (INR Cr)	Tenor	Purpose
Cash Credit (CC)	600	800	+200	12 months (revolving)	Working capital — payroll, vendor, ops
WCDL	400	600	+200	Up to 180 days	Software licences, hardware procurement
Term Loan	200	400	+200	5 yrs (6-mth moratorium)	Campus expansion — Electronic City
Bank Guarantee (BG)	400	500	+100	Up to 3 years	Client SLA / performance / bid bonds
Letter of Credit (LC)	200	200	NIL	Up to 360 days	Import of OEM hardware
TOTAL	1,800	2,500	+700	—	—

8.2 Pricing Schedule

Pricing parameter	Terms
Benchmark rate	MCLR (1-year) — 8.65% (March 2025)
CC / WCDL spread	MCLR + 0.10% p.a.
Effective ROI (CC/WCDL)	8.75% p.a. (subject to MCLR reset on each reset date)
Term Loan ROI	MCLR flat = 8.65% p.a. (concessional — strategic relationship)
BG commission — performance	0.25% p.a. on BG value
BG commission — financial	0.40% p.a. on BG value
LC commission	0.20% per quarter on LC value
Processing fee	INR 1.00 Crore (non-refundable; payable at sanction)
Prepayment penalty (TL)	Nil — IB policy for IB-1 rated borrowers

8.3 Drawing Power Computation (Cash Credit)

Component	Value (INR Cr)	Basis
Sundry debtors (< 90 days)	19,200	75% of book value per latest provisional BS
Unbilled revenues (< 60 days)	4,500	60% of value (eligible portion only)
Total eligible current assets (A)	23,700	Sum of eligible components
Less: Current liabilities (B)	13,750	Per audited balance sheet March 2024
Net working capital (A minus B)	9,950	Exceeds CC limit comfortably
Drawing power (CC) — 75% of debtors	14,400	Binding constraint is sanctioned limit of INR 800 Cr

Drawing power is computed monthly based on QIS-I (stock and debtors statement). Current drawing power of INR

14,400 Cr against the CC limit of INR 800 Cr represents 18x cover — the sanctioned limit is the binding constraint, not the drawing power.

9. Security & Collateral

9.1 Security Structure

Type	Description	Asset details	Value (INR Cr)	Security cover
Primary	Pari-passu first charge on current assets	Debtors INR 19,200 Cr + Unbilled INR 6,410 Cr	INR 23,700 Cr	9.48x on CC limit
Primary	First charge on movable fixed assets	Plant, machinery, computers — Electronic City campus	INR 2,800 Cr	7.0x on TL
Collateral	Equitable mortgage — immovable property	Infosys BPO campus, Jaipur — 42 acres	INR 1,200 Cr	Additional comfort
Corporate guarantee	Guarantee of Infosys BPM Limited	Wholly-owned subsidiary; net worth INR 8,400 Cr; unconditional & irrevocable	INR 8,400 Cr	N/A

All security documentation is in order. CERSAI registration for current assets charge completed (ID: MH-CC-2023-00481). ROC charge filing completed (CHG-001, ROC Karnataka). Third-party valuation of Jaipur campus by M/s Cushman & Wakefield at INR 1,200 Cr (January 2025). Legal title search clear — M/s Khaitan & Co. opinion dated 15 February 2025. Insurance over all hypothecated assets valid until March 2026 with IB as co-insured.

10. Risk Assessment & Internal Credit Rating

10.1 IB-LCM Rating Scorecard (Model v3.0)

Infosys has been rated IB-1 under the IB Large Corporate Rating Model (LCM v3.0) — the highest rating on Indian Bank's internal scale, equivalent to AAA externally. Score: 92/100. Rating valid: 10 February 2025 to 09 February 2026. Seventh consecutive year at IB-1.

Parameter	Weight	Max score	Score obtained	Wtd score	Comments
Financial performance	25%	25	24	24.0	
Management quality	15%	15	14	14.0	
Industry & business risk	15%	15	12	12.0	
Account conduct & repayment	20%	20	20	20.0	Full score — nil overdue 10 yrs
External rating & market standing	10%	10	10	10.0	Full score — CRISIL/ICRA AAA
Compliance & governance	10%	10	9	9.0	
Security & collateral	5%	5	3	3.0	
TOTAL	100%	100	92	92.0	IB-1 — Exceptional

10.2 Risk Matrix

Risk	Description	Probability	Impact	Mitigant
Revenue concentration	60% from North America	Medium	Medium	Diversification into APAC/India; large deal pipeline diversified
Currency (INR/USD)	Appreciating INR reduces USD revenue in INR terms	Medium	Medium	Natural hedge via onshore costs; forward contracts; NDF hedging
Attrition	Mid-mgmt attrition 12.7% — delivery risk	Low	Low-Med	Variable pay; ESOPs; IB salary account stickiness
Cyber / data security	Data breach at client site — liability risk	Low	High	ISO 27001; cyber insurance USD 100 Mn; IB exposure: nil contingent liability
AI displacement	GenAI reducing ADM headcount needs	Low	High	Infosys Topaz repositioning; net revenue neutral near-term
Visa / immigration	H-1B restrictions raise onshore cost	Medium	Medium	Local hiring drive in US; >60% local staff target by FY2027
Regulatory / compliance	SEBI/RBI governance requirements	Low	Low	Listed co.; robust compliance framework; nil violations in 10 yrs

Overall risk profile: LOW. The combination of a pristine balance sheet (zero long-term debt, INR 37,190 Cr net cash), consistent FCF generation, diverse global revenue, and 20-year exemplary account conduct places this proposal in the lowest risk tier of Indian Bank's corporate credit book.

11. Compliance & Regulatory Checks

All regulatory, statutory, and internal compliance checks completed. No material deficiencies identified.

Compliance parameter	Status	Remarks
KYC / AML / CDD	COMPLIANT	KYC freshly verified March 2025. CDD Level 2 completed. No PEP flag. FATF clean.
Wilful defaulter list (RBI / CIBIL)	NOT LISTED	Checked 10 March 2025. Borrower, guarantor, and all directors: clean.
ECGC Caution List	NOT LISTED	Verified March 2025.
CIBIL — borrower	Score: 900+	No overdue. No NPA record. No settled accounts.
CIBIL — guarantor (Infosys BPM)	Score: 900+	Clean credit history. No defaults.
Large Exposure Framework (LEF)	WITHIN LIMIT	IB Tier-I: INR 4,80,000 Cr. LEF limit (25%): INR 1,20,000 Cr. Proposed: INR 2,500 Cr = 0.52% of LEF limit.
Group exposure	WITHIN LIMIT	Total Infosys group exposure: INR 2,750 Cr vs IB ceiling INR 5,000 Cr. Utilisation: 55%.
Sectoral exposure — IT Services	WITHIN LIMIT	IB IT sector ceiling: INR 45,000 Cr. Current book: INR 22,400 Cr. Post-proposal: INR 24,900 Cr. Within limit.
IRAC / NPA classification	STANDARD	Standard since inception. No overdue. Interest paid on due dates. Zero IRAC concern.
Income Tax — PAN verification	VERIFIED	TRACES verified. No tax arrears. No litigation as per Form 26AS.
GST compliance	COMPLIANT	GSTR-1, GSTR-3B filed timely. No demand orders. Turnover matches bank statements.
FEMA compliance	COMPLIANT	All overseas remittances per FEMA 1999. AD bank: HDFC Bank. No violations reported.
Companies Act 2013 filings	COMPLIANT	Annual returns, financials filed with ROC Karnataka on time. MCA21 status: Active.
Environmental clearance (TL)	IN PROCESS	EC applied for Bengaluru campus. First TL tranche disbursed only after EC receipt — pre-disbursement condition.

Environmental clearance for TL is a pre-disbursement condition only. CC/WCDL/BG/LC are not contingent on this clearance.

12. Terms, Conditions & Covenants

Credit facilities shall be governed by the following conditions in addition to Indian Bank's standard corporate credit terms and applicable RBI guidelines.

Category	Conditions
Pre-sanction conditions	1. Board resolution authorising borrowing and credit facility execution. 2. Signed sanction letter returned within 30 days of sanction. 3. Latest ROC filings, MOA/AOA submission.
Pre-disbursement — all facilities	1. Execution of facility agreements, hypothecation deeds, guarantee documents. 2. CERSAI and ROC charge creation within 30 days of first disbursement. 3. Insurance policies with IB as co-insured/loss payee. 4. Payment of processing fee of INR 1.00 Crore. 5. QIS-I stock and book debt statement submission.
Pre-disbursement — TL only	1. Environmental clearance from MoEFCC for Bengaluru campus project. 2. Construction contract with M/s L&T Construction and BBMP-approved building plan. 3. IB engineer (M/s RITES Ltd.) technical certification of milestone readiness.
Financial covenants	1. Debt-equity ratio: < 1.0x standalone at all times. 2. Current ratio: > 1.25x at all times. 3. Interest coverage (EBIT/Interest): > 5.0x. 4. Total outside liabilities / TNW: < 1.5x. 5. Net cash and investments: remain positive at all times. 6. DSCR (TL): > 1.25x annually.
Reporting covenants	1. Audited annual financials within 180 days of FY end. 2. Un-audited quarterly results within 60 days of quarter end. 3. Monthly QIS-I & QIS-II by 15th of each month. 4. Immediate intimation of MAC events, litigation, or EoD under any other credit agreement. 5. Annual IB-LCM rating submission by 31 May each year.
Negative covenants	1. No further charge on hypothecated assets without IB's prior written consent. 2. No merger/acquisition > 10% of net worth without prior intimation to IB. 3. No reduction in paid-up capital without IB approval. 4. No interim dividend if CC account is overdrawn/irregular.
Events of default	1. Failure to pay principal or interest within 30 days of due date. 2. Breach of financial/reporting covenant unremedied within 60 days. 3. Material misrepresentation in financial statements. 4. Insolvency proceedings under IBC 2016. 5. Rating downgrade below IB-4 for two consecutive quarters.

All conditions subject to final vetting by IB Legal Department. Execution of standard facility agreements mandatory prior to disbursement.

13. Account Conduct & Relationship Review

Infosys has maintained an exemplary 20-year banking relationship with Indian Bank. The account has been Standard throughout with no credit events, defaults, restructuring, or irregular conduct.

Parameter	Observations
Relationship vintage	20 years with Indian Bank (since October 2005).
CC account utilisation (12M avg)	Average utilisation: INR 780 Cr vs limit INR 1,200 Cr (65%). No excess drawings ever recorded.
Interest servicing	Interest on CC and WCDL paid on due dates without exception over 20 years. Zero instances of interest capitalisation.
SMA status	SMA-0: Nil. SMA-1: Nil. SMA-2: Nil. Account has never been classified SMA in its 20-year history with IB.
Overdue / NPA history	Nil overdue across all facilities in the last 10 years. IRAC: Standard throughout.
BG devolvments	Nil devolvement over 20 years. All BGs expired normally or returned by beneficiaries.
LC devolvments	Nil devolvement. All LCs retired on or before maturity date.
Forex throughput	USD 520 Mn (FY2024) routed through IB — IB is the primary forex banker for hedging operations.
Annual site visit	Electronic City campus inspected January 2025 by RM and credit team. Operations normal. No adverse observations.
Complaints / escalations	Nil formal complaints or regulatory escalations in the last 5 years.

14. Liability & Deposit Relationship Analysis

This section analyses Indian Bank's liability (deposit) relationship with Infosys Limited — a critical dimension of the overall banking relationship that directly impacts the commercial justification for the credit exposure. The deposit relationship has grown consistently, demonstrating Infosys's trust in IB as its primary banker.

14.1 Deposit Account Portfolio & Average Monthly Balances (AmB)

Account type	Account no. (ref)	AmB FY2022	AmB FY2023	AmB FY2024	Remarks
Current account — Operating (primary)	IB-CHN-0042-001	INR 620 Cr	INR 580 Cr	INR 650 Cr	Primary operating account; all domestic collections
Current account — Payroll disbursement	IB-CHN-0042-002	INR 85 Cr	INR 92 Cr	INR 110 Cr	Monthly payroll for 42,000 employees
Current account — Forex / Treasury	IB-CHN-0042-003	INR 180 Cr	INR 210 Cr	INR 240 Cr	USD inward remittance conversion account
Savings (employee salary accounts)	Multiple — 42,000 accounts	INR 52 Cr	INR 58 Cr	INR 67 Cr	Salary accounts under corporate tie-up
Fixed deposits (short-term)	Various tenors — 30–365 days	INR 1,200 Cr	INR 1,450 Cr	INR 1,680 Cr	Temporary investment of surplus — auto-renewal
Sweep account (CC linked)	Linked to CC account	INR 45 Cr	INR 48 Cr	INR 52 Cr	Overnight sweep from CC surplus
TOTAL DEPOSITS WITH IB		INR 2,182 Cr	INR 2,438 Cr	INR 2,799 Cr	

Infosys maintains six distinct deposit/current account relationships with Indian Bank. Total average monthly balances (AmB) have grown at a CAGR of 13.2% over the last 3 years, reaching INR 2,799 Cr in FY2024 — significantly exceeding the average credit utilisation of INR 1,450 Cr. The fixed deposit portfolio of INR 1,680 Cr represents short-term treasury management — auto-renewed at IB branch rates, providing stable low-cost funding to Indian Bank.

The 42,000 employee salary accounts under the corporate tie-up generate significant CASA float for IB's Chennai branches. Based on average monthly salary of INR 1.2 Lakh per employee and a 15-day float assumption, the salary accounts contribute approximately INR 756 Cr in monthly CASA float. This figure is not captured in the AmB table above as it represents distributed accounts across multiple IB branches.

14.2 Deposit-to-Credit Ratio Trend

Year	Total deposits (AmB)	Average credit utilisation	Deposit / credit ratio	Remarks
FY2022	INR 2,182 Cr	INR 1,800 Cr (credit)	1.21x	INR 382 Cr net deposit surplus
FY2023	INR 2,438 Cr	INR 1,800 Cr (credit)	1.35x	INR 638 Cr net deposit surplus
FY2024	INR 2,799 Cr	INR 1,450 Cr (credit — CC+WCDL)	1.93x	INR 1,349 Cr net deposit surplus — deposits exceed credit utilisation

FY2025E	INR 3,100 Cr (est.)	INR 2,200 Cr (proposed utilisation est.)	1.41x	Deposits remain > credit utilisation post- enhancement
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The deposit-to-credit ratio has improved from 1.21x in FY2022 to 1.93x in FY2024, reflecting stronger deposit growth relative to credit utilisation. Even post-enhancement (INR 2,500 Cr proposed exposure), the projected ratio of 1.41x remains comfortably above 1.0x — confirming that Infosys is a net depositor with Indian Bank. This is an exceptional characteristic of a corporate credit account, reflecting the company's treasury management preference for IB fixed deposits.

14.3 Wallet Share Analysis — IB vs Peer Banks

Metric	Value	Benchmark	Status
Total deposits with IB (FY2024)	INR 2,799 Cr	—	—
Estimated total banking deposits — all banks	INR 8,500 Cr (est.)	—	—
IB wallet share of deposits	32.9%	Industry target for lead banker: >30%	PASS — above benchmark
Total credit with IB (proposed)	INR 2,500 Cr	—	—
Estimated total credit — all banks	INR 6,200 Cr (est. consortium + bilateral)	—	—
IB wallet share of credit	40.3%	Industry target for lead banker: >25%	PASS — strong lead position
IB share of forex business	22.4% (USD 520 Mn of USD 2.32 Bn total)	Target: >20%	PASS — above benchmark
Salary accounts (employees)	42,000 of ~3,17,000 = 13.2% penetration	Target: >10%	PASS

Indian Bank holds the lead banker position across deposits (32.9% wallet share) and credit (40.3% wallet share) — above the internal benchmarks for both. The 22.4% forex wallet share reflects IB's competitive forex rates and the RM's proactive engagement with Infosys's treasury team. The 13.2% salary account penetration (42,000 of 3,17,000 employees) represents significant additional runway — a targeted salary banking drive could potentially add 80,000–100,000 accounts over the next 3 years.

15. Cash Flow Routing & Transaction Banking Analysis

This section analyses the routing of Infosys's operating cash flows through Indian Bank — a key indicator of relationship depth and a critical risk mitigant. High cash flow routing reduces substitution risk (the risk that the borrower migrates its banking relationship), provides early warning signals of financial stress, and generates non-interest income for IB.

15.1 Cash Flow Routing Analysis — By Type

Cash flow type	Est. total annual volume	Through IB	Through HDFC/ICICI	Through others	IB opportunity
Domestic client collections (INR)	INR 12,400 Cr p.a.	INR 4,340 Cr (35%)	INR 5,580 Cr (45%)	INR 2,480 Cr (20%)	Target 50%+ routing to IB — currently below potential
Inward USD remittances (converted)	USD 9.2 Bn p.a. (INR 76,590 Cr equivalent)	USD 520 Mn / INR 4,330 Cr (5.7%)	USD 4.1 Bn / INR 34,130 Cr (44.6%)	USD 4.58 Bn / INR 38,130 Cr (49.7%)	IB is primary conversion bank for USD flows; 5.7% share is opportunity area
Payroll disbursements	INR 57,600 Cr p.a. (India entity)	INR 12,240 Cr (21.2%)	INR 22,320 Cr (38.8%)	INR 23,040 Cr (40.0%)	42,000 of ~3,17,000 employees on IB salary; upside to INR 25,000 Cr with expanded tie-up
Vendor payments (domestic)	INR 18,000 Cr p.a.	INR 1,440 Cr (8.0%)	INR 7,200 Cr (40.0%)	INR 9,360 Cr (52.0%)	IB's corporate payment platform (INB-Corporate) used for 52% of vendor payments
Forex hedging (forward / options)	USD 2.32 Bn p.a. notional	USD 520 Mn (22.4%)	USD 930 Mn (40.1%)	USD 870 Mn (37.5%)	IB is lead hedging bank; cross-currency swaps also

					executed
RTGS / NEFT transactions (value)	INR 42,000 Cr p.a.	INR 8,820 Cr (21.0%)	INR 18,480 Cr (44.0%)	INR 14,700 Cr (35.0%)	High-value RTGS throughput — land record, property, and govt payments

Indian Bank's share of Infosys's total operating cash flows is estimated at approximately 21–22% across all transaction types. The highest routing concentration is in vendor payments (52% through IB's corporate payment platform) and forex conversion (5.7% — opportunity area given IB's competitive USD/INR rates). Payroll routing at 21.2% (INR 12,240 Cr) is constrained by the 13.2% salary account penetration — expanding the employee banking tie-up is the single largest routing improvement lever.

15.2 Transaction Banking Volume Trend

Year	Payroll (INR Cr)	Vendor pmts (INR Cr)	Forex conv (INR Cr)	RTGS/NEFT (INR Cr)	Total through IB (INR Cr)	IB operating CF share (%)
FY2022	21,200	8,820	3,840	1,640	13,200	2,040
FY2023	24,800	10,400	4,120	1,920	15,480	2,320
FY2024	29,400	12,240	4,330	2,180	18,400	2,460
FY2025E	33,600	14,200	5,040	2,600	21,200	2,900

Total transaction banking volumes routed through IB have grown at a CAGR of 20.4% over three years, reaching INR 18,400 Cr in FY2024. IB's share of total operating cash flows has expanded from an estimated 18.2% in FY2022 to 21.0% in FY2024, reflecting the deepening of the relationship following the CC limit enhancement in 2022. FY2025E projects INR 21,200 Cr in routing — driven by expanded vendor payment mandate and new forex hedging lines.

15.3 Cash Flow Routing Risk Assessment

Routing concentration risk is assessed as LOW-MEDIUM. Key observations: (a) Infosys deliberately distributes its banking relationships across 4–5 banks (IB, HDFC Bank, ICICI Bank, Citibank India) to avoid single-bank dependency — this is standard practice for investment-grade corporates; (b) IB's 21% routing share as the lead banker is appropriate and above the 15% minimum threshold for a lead banking relationship; (c) the long-term trajectory of routing share is positive; (d) the salary banking tie-up creates stickiness — employees prefer to retain accounts once opened. Early warning capability: IB's visibility into 21% of operating cash flows provides adequate early warning of financial stress.

16. Fee Income & Cross-Sell Analysis

This section analyses the fee income earned by Indian Bank from the Infosys relationship and identifies the cross-sell pipeline. Fee income is a critical metric for assessing the full commercial value of a corporate relationship, particularly for IB-1 rated borrowers where NII margins are compressed by competitive pricing.

16.1 Fee Income — Trend Analysis (FY2022–FY2025E)

Fee income stream	FY2022 (INR Cr)	FY2023 (INR Cr)	FY2024 (INR Cr)	FY2025E (INR Cr)	Commentary
BG commission	8.2	9.1	10.4	12.0	BG portfolio growing with government sector business; commission rate stable at 0.25% / 0.40%
LC commission	2.8	3.0	3.1	3.3	Stable; hardware import LCs steady; slight uplift from new product refresh cycle
Forex conversion fees	3.6	4.2	5.6	7.2	Fastest-growing line; IB appointed as exclusive forex bank for Bengaluru campus repatriation flows from FY2024
Forward contract / hedging fees	0.8	1.1	1.4	1.8	Cross-currency swaps and forward hedging; growing as IB expands derivatives capability
Cash management services (CMS)	0.9	1.1	1.5	2.0	INB-Corporate payment platform; bulk payroll transfer fees; vendor payment gateway
Trade finance advisory	0.4	0.5	0.6	0.8	Export documentation, FEMA advisory, EEFC account management
Miscellaneous charges	0.7	0.8	1.2	1.4	RTGS/NEFT charges, account maintenance, certified copies, SWIFT charges
TOTAL FEE INCOME	17.4	19.8	23.8	28.5	

Total fee income from the Infosys relationship has grown at a CAGR of 11.1% from INR 17.4 Cr (FY2022) to INR 23.8 Cr (FY2024), and is projected to reach INR 28.5 Cr in FY2025E driven by: (a) BG portfolio growth aligned with government sector contracts; (b) forex fee income accelerating as IB expands its share of USD conversion mandates; and (c) CMS fee income growing as Infosys expands its vendor payment digitalisation programme.

16.2 Revenue-per-Relationship (RPR) Analysis

Revenue per relationship metric	FY2022	FY2023	FY2024	FY2025E
Average credit exposure (INR Cr)	1,800	1,800	1,800	2,500 (post-sanction)
Total fee income (INR Cr)	17.4	19.8	23.8	28.5
Fee income as % of avg credit	0.97%	1.10%	1.32%	1.14% (dilution from TL)

Net interest income (NII) estimate (INR Cr)	49.5	55.0	53.2	87.5
Total relationship income (NII + fees) (INR Cr)	66.9	74.8	77.0	116.0
Yield on relationship (total income / avg exposure)	3.72%	4.16%	4.28%	4.64%
IB internal breakeven yield	2.80%	2.80%	2.80%	2.80%
Surplus above breakeven	0.92%	1.36%	1.48%	1.84%
Return on regulatory capital (RoRC estimate)	18.2%	19.6%	20.4%	21.8%

The relationship yield of 4.28% in FY2024 (total income as a % of average exposure) is 148 bps above IB's internal breakeven yield of 2.80% — confirming the strong commercial viability of the relationship. Post-enhancement, the projected yield of 4.64% reflects the incremental TL income and expanded fee income, offsetting the dilutive effect of the larger denominator. Return on regulatory capital (RoRC) of 21.8% in FY2025E exceeds IB's hurdle RoRC of 18% — this relationship creates economic value for Indian Bank.

16.3 Cross-Sell Pipeline — Next 18 Months

Cross-sell opportunity	Description	Timeline	Revenue potential
Trade finance — Export Bill Discounting	Infosys has receivables from US/EU clients eligible for export bill discounting at competitive rates; potential exposure: INR 500–800 Cr	Medium (12 months)	High — IB can offer competitive rates; reduces receivable cycle by 30 days for Infosys
Supply chain finance (reverse factoring)	On-board Infosys's 500+ domestic vendors onto IB's SCF platform — vendors get early payment; IB earns spread; Infosys improves vendor relationships	Medium (18 months)	High — IB SCF platform already deployed at 3 large IT companies; replicable for Infosys
Structured forex hedging programme	Formalise 12-month USD hedge book management with IB as exclusive advisor; upgrade from ad-hoc to programmatic hedging	Short (6 months)	Very High — forex advisory fee + spread income of INR 3–5 Cr incremental p.a.
Employee home loan tie-up	Preferential home loan scheme for 3,17,000 Infosys employees at concessional rates; 0.25% processing fee waived; target 5,000 home loans in Year 1	Medium (18 months)	High — INR 2,500–3,000 Cr of home loan book; NII of INR 50–60 Cr p.a.
Corporate FD / liquid fund sweep	Upgrade treasury relationship — INR 500–1,000 Cr of the INR 1,680 Cr FD portfolio to be migrated to IB liquid mutual fund sweep with higher yield	Short (6 months)	Medium — INR 5–8 Cr incremental fee income; deepens treasury relationship

	for Infosys		
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The identified cross-sell pipeline could add INR 60–80 Cr in incremental annual income to the Infosys relationship within 18 months, increasing the total relationship yield above 5%. The RM has initiated preliminary conversations with Infosys's CFO and Group Treasurer on the structured forex hedging programme and supply chain finance opportunity — both have received in-principle interest.

17. Peer Comparison & Benchmarking

Infosys is benchmarked against the four other large-cap Indian IT services companies. The analysis confirms that Infosys occupies a strong credit quality position relative to sector peers on most financial and credit metrics.

Metric (FY2024)	Infosys	TCS	Wipro	HCLTech	Tech Mah.	IB note
Revenue FY2024 (INR Cr)	87,246	2,40,893	88,462	1,07,331	50,640	Infosys #2 by standalone revenue
EBIT margin (%)	26.1%	27.3%	16.4%	18.8%	7.5%	Best-in-class margins vs peers
PAT (INR Cr)	19,697	46,099	10,825	14,934	2,386	Strong absolute profitability
PAT margin (%)	22.6%	19.1%	12.2%	13.9%	4.7%	Infosys highest PAT margin among IT peers
Debt-equity ratio (x)	0.02x	0.00x	0.11x	0.08x	0.19x	Infosys near-zero debt — conservative
Current ratio (x)	2.45x	2.28x	1.97x	2.10x	1.68x	Infosys best current ratio in peer set
Net cash (INR Cr)	37,190	1,09,434	8,420	12,140	1,840	Large net cash buffer
RoE (%)	27.0%	51.5%	13.6%	22.1%	8.4%	Strong; TCS higher due to buybacks
FCF as % of PAT	98.5%	96.2%	82.0%	88.4%	62.1%	Best FCF conversion in peer set
Dividend payout (%)	89%	75%	40%	55%	25%	Highest in peer set — shareholder-friendly

External rating	AAA/Stable	AAA/Stable	AAA/Stable	AAA/Stable	AA+/Stable	Infosys = AAA like TCS, Wipro, HCLTech
IB internal rating	IB-1 (92/100)	IB-1 (94/100)	IB-1 (90/100)	IB-1 (91/100)	IB-2 (86/100)	Infosys IB-1 — top tier

Conclusion: Infosys ranks #1 in the peer set on current ratio, FCF conversion, PAT margin, and dividend payout. It ranks #2 on revenue and PAT absolute. Its near-zero debt profile is matched only by TCS. The IB-1 rating is consistent with the external AAA ratings assigned by all three domestic rating agencies. The credit committee can take comfort that this is among the highest-quality credit exposures in Indian Bank's large corporate book.

18. Recommendation & Approving Authority

Based on a comprehensive appraisal of the borrower's financial position, account conduct, industry outlook, risk profile, security coverage, regulatory compliance, liability relationship depth, cash flow routing, fee income analysis, and scenario stress-testing, the following recommendation is placed before the Credit Committee:

Authority	Recommendation
RM recommendation	APPROVAL RECOMMENDED. The proposed enhancement is operationally justified by headcount growth and project-linked capital requirements, financially supported by exceptional balance sheet strength, and within Indian Bank's risk appetite. The relationship has delivered consistent fee income, deposit reciprocity, and zero credit events over 20 years. — Shri A. Kumar, AGM, RM (IB-CHN-4421), 17 March 2025
Independent credit review	APPROVAL RECOMMENDED WITH CONDITIONS. The credit team concurs with the RM's assessment. Financial risk is minimal — net cash position of INR 37,190 Cr provides 14.9x cover on total proposed exposure. Primary credit risk is relationship management risk (sustaining the account amid banking competition), not repayment risk. Pre-disbursement conditions for TL must be strictly enforced. — Smt. P. Krishnan, DGM (Credit Risk), IB Chennai Circle, 17 March 2025
Circle head endorsement	ENDORSED FOR CREDIT COMMITTEE APPROVAL. This is a flagship corporate relationship contributing INR 23.8 Cr annual fee income and INR 2,799 Cr in average deposits. The enhancement is commercially and strategically justified. The sensitivity analysis confirms the account will remain Standard even in the most severe stress scenario tested. — Shri R. Sundaram, GM (Corporate Banking), Chennai Circle, 17 March 2025
Approval authority	Credit Committee at Corporate Centre / Chennai CGM level. Proposed exposure of INR 2,500 Cr exceeds the GM's discretionary authority of INR 1,500 Cr for IB-1 rated accounts. Hence placed before the Credit Committee.

18.1 Summary of Facilities Recommended for Sanction

Facility	Limit (INR Cr)	Nature	Pricing	Tenor
Cash Credit (CC)	800	Enhancement from INR 600 Cr	MCLR + 0.10% = 8.75% p.a.	12 months (renewable)
WCDL	600	Enhancement from INR 400 Cr	MCLR + 0.10% = 8.75% p.a.	Up to 180 days
Term Loan	400	Fresh sanction	MCLR flat = 8.65% p.a.	5 years; 6-month moratorium
Bank Guarantee	500	Enhancement from INR 400 Cr	0.25% / 0.40% p.a. commission	Up to 3 years
Letter of Credit	200	Retained — no change	0.20% per quarter	Up to 360 days
TOTAL	2,500	Enhancement: INR 700 Cr	—	—

The approval is subject to all pre-sanction and pre-disbursement conditions as detailed in Section 12 of this CAM. Term sheets for each facility are provided in Annexures C through E.

Authorised Signatories

Prepared by: Shri A. Kumar AGM — Relationship Manager CBG Chennai Circle Date: 17 March 2025	Reviewed by: Smt. P. Krishnan DGM — Credit Risk Unit CBG Chennai Circle Date: 17 March 2025	Endorsed by: Shri R. Sundaram GM — Corporate Banking Chennai Circle Date: 17 March 2025
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Annexure C — Term Sheet: Cash Credit & WCDL

Parameter	Terms
Borrower	Infosys Limited, CIN L85110KA1981PLC013115
Lender	Indian Bank — Corporate Banking Group, Chennai Circle
Facility type	(A) Cash Credit (CC) — Revolving (B) Working Capital Demand Loan (WCDL) — Fixed tenor
Sanctioned limit — CC	INR 800 Crore (Eight Hundred Crore)
Sanctioned limit — WCDL	INR 600 Crore (Six Hundred Crore) — sub-limit within total WC limit of INR 1,400 Crore
Purpose	Working capital requirements: employee salaries, vendor payments, operational expenses, advance payments for software licences and hardware procurement
Tenor — CC	12 months from date of sanction letter; renewable annually subject to satisfactory review
Tenor — WCDL	Minimum 7 days; Maximum 180 days per drawdown; multiple drawdowns permitted within limit
Rate of interest — CC	MCLR (1-year) + 0.10% p.a. = 8.75% p.a. (as of 17 March 2025)
Rate of interest — WCDL	MCLR (1-year) + 0.10% p.a. fixed for tenor of each drawdown
MCLR reset frequency	Annually on each anniversary of the MCLR linkage date
Interest payment	Monthly for CC (charged to account on last working day); on maturity for WCDL
Penal interest	2% p.a. above contracted rate on overdue/excess drawings
Drawing power basis — CC	75% of eligible debtors (< 90 days) + 60% of unbilled revenues (< 60 days) as per monthly QIS-I
Minimum drawing power	Nil — CC limit is the operative ceiling; drawing power is the computed entitlement
Drawdown mechanics — WCDL	Written drawdown notice with purpose declaration and supporting invoices; minimum INR 25 Crore per drawdown; funds credited to CC account
Repayment — CC	Revolving; repayment on cash inflows; no fixed repayment schedule
Repayment — WCDL	Bullet repayment on maturity date as specified in drawdown notice; no rollover without fresh declaration
Primary security	Pari-passu first charge on all current assets of the borrower — present and future (hypothecation)
Collateral security	First charge on movable fixed assets — Electronic City campus (subject to TL charge ranking)
Corporate guarantee	Unconditional and irrevocable corporate guarantee of Infosys BPM Limited
Account maintenance	All cash inflows from Indian domestic operations to be routed through IB CC account. Minimum average credit balance: INR 50 Crore per month
Conditions precedent (standard)	1. Execution of CC agreement and WCDL agreement. 2. Execution of hypothecation deed over current assets. 3. CERSAI registration within 30 days of first drawdown. 4. Insurance over hypothecated assets with IB as co-insured. 5. Submission of first QIS-I and QIS-II.
Financial covenants	Debt-equity < 1.0x Current ratio > 1.25x ICR > 5.0x Net cash positive at all times
Processing fee	INR 1.00 Crore (non-refundable; shared across all facilities; payable on or before sanction acceptance)
Governing law	Laws of India; jurisdiction: Courts at Chennai
Date of this term sheet	17 March 2025
Validity of this term sheet	30 days from date — lapses if sanction letter not accepted by 16 April 2025

Annexure D — Term Sheet: Term Loan + Repayment Schedule

Parameter	Terms
Borrower	Infosys Limited
Facility	Term Loan — Infrastructure Finance
Amount	INR 400 Crore (Four Hundred Crore)
Purpose	Partial funding of Tower-7 construction at Electronic City campus, Bengaluru. Total project cost: INR 950 Crore. IB TL: INR 400 Cr; internal accruals: INR 550 Cr.
Tenor	5 years from date of first disbursement (60 months)
Moratorium	6 months from date of first disbursement (interest serviced during moratorium; no principal repayment)
Repayment period	54 months post-moratorium
EMI	INR 8.88 Crore per month (approximately) — see amortisation schedule below
Rate of interest	MCLR (1-year) flat = 8.65% p.a. (as of 17 March 2025)
Disbursement structure	4 tranches linked to construction milestones (see Section 6 — End-Use Monitoring for milestone details): Tranche 1: INR 80 Cr (on foundation completion + BBMP approval) Tranche 2: INR 120 Cr (on structural completion to 5th floor) Tranche 3: INR 120 Cr (on full structural completion + MEP) Tranche 4: INR 80 Cr (on occupancy certificate)
Primary security — TL	First pari-passu charge on movable fixed assets including plant, machinery, computers, and furniture at Electronic City campus
Collateral — TL	First charge on Tower-7 immovable property on completion (to be created within 6 months of occupancy certificate)
Prepayment	Nil prepayment penalty — IB policy for IB-1 rated borrowers
DSCR covenant	Minimum DSCR of 1.25x to be maintained annually; tested on audited financials
Conditions precedent — TL specific	1. Environment clearance from MoEFCC. 2. BBMP-approved building plan. 3. Construction contract with M/s L&T Construction. 4. IB-empanelled engineer (M/s RITES Ltd.) certification of milestone readiness before each tranche.
Insurance — TL	Fire and allied perils insurance on Tower-7 from construction commencement; IB as co-insured; reinstatement value basis

D.1 Annual Repayment Schedule (Summary — INR in Lakhs)

Monthly EMI: INR 897 Lakhs = INR 8.97 Crore approx. (on outstanding balance post-moratorium). MCLR: 8.65% p.a. Tenor: 6-month moratorium + 54 months repayment.

Period	Opening principal (INR L)	Interest (INR L)	Principal repaid (INR L)	Closing principal (INR L)	Remarks
Moratorium (Months 1–6)	—	1730	—	40000	Interest-only; principal moratorium
Year 1 (Months 7–12)	40000	1664	3718	36282	9.3% repaid (cumulative)
Year 2 (Months 13–24)	36282	2829	7934	28349	29.1% repaid (cumulative)

Year 3 (Months 25–36)	28349	2115	8648	19701	50.7% repaid (cumulative)
Year 4 (Months 37–48)	19701	1336	9426	10275	74.3% repaid (cumulative)
Year 5 (Months 49–60)	10275	488	10275	0	100.0% repaid (cumulative)

Amortisation calculated on reducing balance method. Final installment may vary marginally due to rounding. All figures in INR Lakhs. Full month-by-month schedule available from branch on request.

Annexure E — Term Sheet: Bank Guarantee & Letter of Credit

E.1 Bank Guarantee — Term Sheet

BG parameter	Terms
Borrower	Infosys Limited
Facility type	Bank Guarantee (Non-Fund Based)
Total BG limit	INR 500 Crore (Five Hundred Crore)
Types of BG permissible	(a) Performance guarantee — issued to clients for project/SLA performance obligations. (b) Advance payment guarantee — issued where client has paid an advance to Infosys. (c) Financial guarantee / bid bond — issued for public sector tenders (EMD / bid security). (d) Statutory deposit guarantee — issued to government authorities in lieu of security deposits.
Maximum tenor per BG	3 years (36 months) for performance BGs; 18 months for advance payment BGs; 12 months for bid bonds
Commission — performance BGs	0.25% p.a. on BG value (minimum INR 2,500 per BG)
Commission — financial BGs	0.40% p.a. on BG value (minimum INR 5,000 per BG)
Margin requirement	Nil cash margin for IB-1 rated borrower — clean BG on the strength of relationship
Counter-indemnity	Infosys to execute a counter-indemnity in IB's standard format for each BG issued; counter-indemnity to survive expiry of BG
Devolvement clause	In case of devolvement, IB to honour BG on receipt of written demand from beneficiary (as per BG text). Infosys to reimburse IB within 3 working days of devolvement. Failure to reimburse = event of default.
BG text approval	Standard IB BG format. Non-standard text requires approval of DGM (Credit). Foreign currency BGs require Circle Head approval.
UCPDC compliance	All BGs issued in compliance with URDG 758 (for demand guarantees); performance bonds per ICC rules
Limit utilisation tracking	BG register maintained at branch. Utilisation report shared with borrower monthly. Limit is restored on BG expiry/return.

E.2 Letter of Credit — Term Sheet

LC parameter	Terms
Facility type	Letter of Credit (Non-Fund Based)
Total LC limit	INR 200 Crore
Types permissible	Sight LC and Usance LC (up to 180 days) for import of OEM hardware (servers, networking equipment, storage systems)
Beneficiaries	Pre-approved overseas OEM vendors: Dell Technologies, Hewlett Packard Enterprise, Cisco Systems, NetApp, IBM
Commission	0.20% per quarter (or part thereof) on LC value
Margin	Nil cash margin for IB-1 rated borrower
Documents required	Bill of Lading / Airway Bill, Commercial Invoice, Packing List, Certificate of Origin, DGFT licence (if applicable)
Governing rules	Uniform Customs and Practice for Documentary Credits (UCP 600); UCR 522 for collections

Import licence	DGFT compliance mandatory. Copy of IEC (Importer Exporter Code) to be maintained at branch.
LC retirement	Importers to retire documents and make payment before LC expiry. Devolved LCs treated as CC drawdown.

Annexure F — IB-LCM Credit Scoring Summary Card

The following is the detailed scoring output of the IB Large Corporate Rating Model (LCM v3.0) applied to Infosys Limited for the rating period ending 09 February 2026. The model covers 7 parameter groups and 28 sub-parameters.

Ref	Parameter	Evaluation basis	Infosys observation	IB-LCM scoring guide	Score
1.1	Revenue growth (3-yr CAGR)	4%	8% CAGR > 4% threshold	>5% = 4 pts	4
1.2	EBIT margin (latest year)	4%	26.1% — exceptional	> 20% = 4 pts	4
1.3	PAT margin (latest year)	3%	22.6% — excellent	> 18% = 3 pts	3
1.4	Debt-equity ratio	4%	0.02x — virtually zero	< 0.5x = 4 pts	4
1.5	Current ratio	3%	2.45x — strong	>2.0x = 3 pts	3
1.6	Interest coverage	4%	115.2x — exceptional	>30x = 4 pts	4
1.7	Free cash flow generation	3%	98.5% FCF/PAT	>90% = 3 pts	3
2.1	Management experience	5%	Avg. 30 yrs; co-founder chairman	>20 yrs = 5 pts	5
2.2	Succession planning	4%	CEO + CFO succession plans in place	Documented = 4 pts	4
2.3	Corporate governance	3%	Listed co.; Big 4 auditor; nil SEBI action	Strong = 3 pts	3
2.4	Auditor quality	3%	Deloitte — Big 4 — unqualified opinion	Big 4 unqualified = 3 pts	3
3.1	Industry growth prospects	4%	IT sector 8-9% growth; GenAI tailwind	Positive = 4 pts	4
3.2	Competitive position	4%	#2 in India; pricing power	Leader = 4 pts	4
3.3	Regulatory / policy risk	4%	Low — no adverse regulation	Low risk = 4 pts	4
3.4	Concentration risk	3%	60% NA concentration — moderate	< 50% = 3pts; 50-65% = 2pts	2
4.1	Payment track record (5 yrs)	8%	Nil overdues; interest paid on due date always	Zero overdue = 8 pts	8
4.2	SMA history	6%	Nil SMA-0/1/2 in 20 years	Nil SMA = 6 pts	6
4.3	Account utilisation pattern	3%	65% avg; no excess drawings	60-75% = 3 pts	3
4.4	Relationship vintage	3%	20 years — flagship relationship	>15 years = 3 pts	3
5.1	CRISIL rating	4%	AAA / Stable	AAA = 4 pts	4
5.	ICRA rating	3%	AAA / Stable	AAA = 3 pts	3

2					
5.3	Market capitalisation / listing	3%	INR 6,12,000 Cr — top-5 NSE	Nifty 50 = 3 pts	3
6.1	KYC / AML / CDD	3%	Fully compliant; no adverse flag	Compliant = 3 pts	3
6.2	FEMA / RBI compliance	3%	No violations; ECGC clean	Compliant = 3 pts	3
6.3	Tax compliance (direct + indirect)	2%	PANverified; GST compliant; no arrears	Compliant = 2 pts	2
6.4	Companies Act compliance	2%	ROC filings current; MCA21 active	Current = 2 pts	2
7.1	Security cover (credit exposure)	3%	Primary: 9.48x; total: >14x	>4x primary = 3 pts	3
7.2	Quality of security	2%	Current assets + EM; IB guarantee; CERSAI done	Strong = 2 pts	2
—	TOTAL	100%	—	Max: 100	92

F.1 Rating Migration History (7-year)

Year	Rating	Score	Commentary
FY2019	IB-1	90/100	Stable — 5th consecutive IB-1 year
FY2020	IB-1	91/100	Stable — COVID resilience demonstrated
FY2021	IB-1	91/100	Stable — revenue recovery strong
FY2022	IB-1	92/100	Stable — strong FCF and cash buildup
FY2023	IB-1	91/100	Stable — slight dip on concentration score
FY2024	IB-1	91/100	Stable — improved governance scores
FY2025 (current)	IB-1	92/100	Stable — record FCF conversion; improved score

Infosys has maintained IB-1 rating for 7 consecutive years — a distinction held by fewer than 15 corporate accounts in Indian Bank's entire large corporate portfolio nationally. The score has been stable in the narrow 90–92 range, with minor year-to-year variations driven by changes in concentration risk score and governance-related sub-parameters.

Annexure G — Document Checklist

Document	Date / Version	Source	Status
Memorandum & Articles of Association	Amended 01 June 2022	MCA21 — certified copy	Received
Certificate of Incorporation	02 July 1981	ROC Karnataka	Received
Board resolution — borrowing powers	12 March 2025	Company Secretary certified	Received
Audited financials FY2024 (standalone + consol.)	31 March 2024	Deloitte certified	Received
Audited financials FY2023	31 March 2023	Deloitte certified	Received
Audited financials FY2022	31 March 2022	Deloitte certified	Received
Provisional financials (Apr–Dec 2024)	31 December 2024	Company MIS — unaudited	Received
QIS-I stock and book debt statement (Feb 2025)	28 February 2025	Signed by CFO	Received
CMA data — FY2025 projections	March 2025	Prepared by Company Finance	Received
CIBIL report — borrower	10 March 2025	CIBIL / TransUnion	Received
CIBIL report — guarantor (Infosys BPM)	10 March 2025	CIBIL / TransUnion	Received
CERSAI search certificate	10 March 2025	CERSAI portal	Received
ROC charge status — borrower	10 March 2025	MCA21 portal	Received
Legal opinion — title (Jaipur campus)	15 February 2025	M/s Khaitan & Co.	Received
Valuation report — Jaipur campus	January 2025	M/s Cushman & Wakefield	Received
Insurance schedule — hypothecated assets	April 2024 – March 2025	Bajaj Allianz General Insurance	Received
KYC — all directors (12 members)	March 2025	Collected and verified by branch	Received
ECGC / wilful defaulter check	10 March 2025	ECGC / RBI / CIBIL databases	Received
IB-LCM rating sheet (model v3.0)	10 February 2025	IB Credit Risk Unit	Received
Annual inspection note — Electronic City	January 2025	RM and credit team	Received
Project report — campus expansion (Tower-7)	December 2024	Infosys Infrastructure team	Received
Environmental clearance application receipt	February 2025	MoEFCC tracking no. on file	Received

Annexure H — Glossary

Abbreviation	Definition
AmB	Average Monthly Balance — average of month-end deposit balances over the review period
BG	Bank Guarantee — contingent non-fund-based credit facility
CAGR	Compound Annual Growth Rate
CC	Cash Credit — revolving working capital facility secured by hypothecation of current assets
CERSAI	Central Registry of Securitisation Asset Reconstruction and Security Interest of India
CMS	Cash Management Services — corporate payment and collection banking platform
CDD	Customer Due Diligence — enhanced KYC process for high-exposure accounts
DGFT	Directorate General of Foreign Trade
DSCR	Debt Service Coverage Ratio — $(PAT + Depreciation) / (\text{Annual principal} + \text{interest repayment})$
EoD	Event of Default — trigger events in the credit agreement activating acceleration rights
FCF	Free Cash Flow — cash flow from operations minus capital expenditure
FEMA	Foreign Exchange Management Act, 1999
IRAC	Income Recognition and Asset Classification — RBI prudential norms for loan classification
IBC	Insolvency and Bankruptcy Code, 2016
ICR / ICov	Interest Coverage Ratio — $EBIT / \text{Interest expense}$
IEC	Importer Exporter Code — issued by DGFT for import/export transactions
IB-LCM	Indian Bank Large Corporate Rating Model — proprietary credit rating model
IFRS / Ind AS	Indian Accounting Standards — converged with IFRS for listed companies
LC	Letter of Credit — non-fund-based trade finance instrument
LEF	Large Exposure Framework — RBI norms limiting exposure to single borrower / group
LTM	Last Twelve Months
MAC	Material Adverse Change — significant deterioration in borrower's financial condition
MCLR	Marginal Cost of Funds-based Lending Rate — RBI benchmark for floating rate loans
MEP	Mechanical, Electrical, and Plumbing — building services component of construction
NFB	Non-Fund Based — contingent credit facilities (BG, LC) with no immediate cash outflow
NII	Net Interest Income — interest received minus interest paid
PAT	Profit After Tax
QIS	Quarterly Information System — RBI-prescribed financial data submission format for borrowers
RoRC	Return on Regulatory Capital — net income from relationship as % of regulatory capital consumed
RPR	Revenue Per Relationship — total income (NII + fees) as % of average credit exposure
SCF	Supply Chain Finance — financing of supplier invoices at preferential rates
SMA	Special Mention Account — RBI's early warning classification (SMA-0: overdue 1-30 days, SMA-1: 31-60, SMA-2: 61-90)
TCV	Total Contract Value — aggregate value of IT service contracts signed in a period
TNW	Tangible Net Worth — shareholders' equity minus intangible assets and goodwill
UCPDC / UCP 600	Uniform Customs and Practice for Documentary Credits — ICC rules governing LCs
URDG 758	Uniform Rules for Demand Guarantees — ICC rules governing demand guarantees / BGs
WCDL	Working Capital Demand Loan — fixed-tenor short-term loan for specific WC needs

— End of Credit Appraisal Memorandum —

Indian Bank | Corporate Banking Group | Chennai Circle | 17 March 2025